NATIONAL GOVERNMENTS AND POLITICAL COOPERATION

Learning Outcome

- describe geopolitics from a cooperation versus competition perspective

The international environment is constantly evolving. Such trends as the growth of emerging market economies, globalization, and the rise of populism affect the range of opportunities and threats that companies, industries, nations, and regional groups face. **Geopolitics** is the study of how geography affects politics and international relations. Within the field of geopolitics, analysts study actors—the individuals, organizations, companies, and national governments that carry out political, economic, and financial activities—and how they interact with one another. The role of state and non-state actors is discussed in the following section.

State and Non-State Actors

Relationships within and among countries can be complex. To begin, many actors influence international relations, political developments, and economic affairs. In the introduction, we defined actors as the individuals, organizations, companies, and national governments that carry out political, economic, and financial activities. This definition can be divided into two types of actors relevant for geopolitical risk: state actors and non-state actors. **State actors** are typically national governments, political organizations, or country leaders that exert authority over a country's national security and resources. The South African president, sultan of Brunei, Malaysia's parliament, and the British Prime minister are all examples of state actors. **Non-state actors** are those that participate in global political, economic, or financial affairs but do not directly control national security or country resources. Examples of non-state actors are non-governmental organizations (NGOs), multinational companies, charities, and even influential individuals, such as business leaders or cultural icons.

These actors are influenced not only by their relationship with one another but also by factors affecting their other allies and adversaries. For example, if Country A has a cooperative relationship with Country B but Country B attacks Country C, a close ally of Country A, then the relationship between Countries A and B may become strained or even broken. The opposite is also true: A country's cooperation across many political, economic, or financial channels may increase trust over time. As a result, the international system is composed of multifaceted webs of affairs that can shape events and decisions as well as economic and market outcomes. Although a "one-size-fits-all" model does not exist for geopolitical actors, understanding and categorizing the threats and opportunities that a country faces may help us to gauge the likelihood that geopolitical risk will arise.

Countries and their governments are heavily influenced by economic, financial, and national security considerations as well as by social and cultural factors and non-state actors. In fact, economic and financial considerations are inextricably linked with a country's national interest and political dynamic. That said, it is useful to isolate one of these areas—national actors and political cooperation—as a starting point in understanding actors' interwoven goals and the way they may affect geopolitical risk. In the next section, we will develop a sense of state actors and their motivations for cooperation (versus non-cooperation) before adding layers of geopolitical risk analysis.

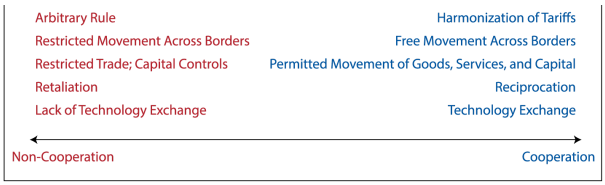
Features of Political Cooperation

At the highest level, relations between countries or national governments (state actors) can be cooperative or competitive in nature. **Cooperation** is the process by which countries work together toward some shared goal or purpose. These goals may, and often do, vary widely—from strategic or military concerns to economic influence or cultural preferences. Given the expansive nature of country goals and interests, their interactions with one another also may be complex, generating the potential for geopolitical risk to arise.

We begin that framework by exploring one specific type of cooperation—political cooperation—which is the degree to which countries work toward agreements on rules and standardization for the activities and interactions between them. Within this context, a **cooperative country** is one that engages and reciprocates in rules standardization; harmonization of tariffs; and international agreements on trade, immigration, or regulation and that also allows for the free flow of information, including technology transfer. In contrast, a **non-cooperative country** is one with inconsistent and even arbitrary rules; restricted movement of goods, services, people, and capital across borders; retaliation; and limited technology exchange. We show the degree of political cooperation in Exhibit 1

Exhibit 1: Political Cooperation and Non-Cooperation

Rate Your Confidence
High
Medium
Low
Continue »
Category
Introduction to Geopolitics
Related Questions:
Practice questions related to this topic



▶ Expand / collapse Extended Description

A country may want to cooperate with its neighbors or with other state actors for many reasons. These reasons are typically defined by a country's national interest—its goals and ambitions—whether they be military, economic, or cultural.

National Security or Military Interest

National security or national defense involves protecting a country, including its citizens, economy, and institutions, from external threat. These threats may be broad in nature—from military attacks and terrorism, to crime, cybersecurity, and even natural disasters.

Geographic factors play an important role in shaping a country's approach to national security and the extent to which it will choose a cooperative approach. Landlocked countries, such as Switzerland, rely extensively on their neighbors for access to vital resources. This reliance may make cooperation more important for sustaining international access and growth or even for survival. By the same token, countries highly connected to trade routes, such as Singapore, or countries acting as a conduit for trade, such as Panama, may use their geographic location as a lever of power in broader international dynamics.

Economic Interest

Over time, the concept of national security has expanded to include economic factors, including access to such resources as energy, food, or water. On a domestic level, growing national wealth and limiting income inequality can contribute to social stability, another important component of national security. On the international level, the ability of national firms to operate on a global scale is increasingly important as well. In this context, countries that cooperate in support of their economic interest are likely focused on one of two factors: Either they would like to secure essential resources through trade, or they would like to level the global playing field for their companies or industries through standardization.

EXAMPLE 1

Factors Affecting Cooperation

1. True or false: Geographic factors do not influence the extent to which a country will choose a cooperative approach. Explain your reasoning.

   A. True
   B. False

   Hide Solution

   Solution:

   B is correct. Geographic factors play an important role in shaping a country's approach to national security and the extent to which it will choose a cooperative approach. A country with limited access to resources because of its geographic characteristics might be more inclined to cooperate as it needs access to resources to thrive, whereas a country rich in internal resources might use its resources as leverage to influence international dynamics. Countries with direct access to the sea have an advantage related to trade and transport as well as the natural resources provided by the ocean.

EXAMPLE 2

Factors Affecting Cooperation

1. Fill in the blank: Two factors on which a cooperative country is likely focused include____ and___.

   Hide Solution

   Solution:

   Two factors on which a cooperative country is likely focused include *trade* and *standardization*.

Resource Endowment, Standardization, and Soft Power

The cooperation and engagement among countries is also affected by its resource endowment, standardization of the rules of engagement, and cultural factors and soft power. These factors are examined

Geophysical Resource Endowment

At a basic level, **geophysical resource endowment** includes such factors as livable geography and climate as well as access to food and water, which are necessary for sustainable growth. Geophysical resource endowment is highly unequal among countries. Some countries, such as the United States, Russia, Australia, and China, are relatively self-sufficient in their resource use. Others, such as Western Europe, Japan, and Turkey, are highly reliant on others for key factors of production, such as fossil fuels. Still others, such as Saudi Arabia, have a plentiful endowment of fossil fuels but rely on others for many basic needs.

These different starting points create power dynamics that can affect the terms of engagement between states. A country heavily endowed with a resource may find itself with more political leverage when dealing with another country in desperate need of that resource. At the same time, a resource-rich country may become vulnerable if the use or sale of the resource benefits certain groups more than others, therefore contributing to internal political instability.

Standardization

Economic and financial activities may cross borders with or without explicit government support. As they do, governments have more incentive to cooperate with others in standardizing the rules of engagement. **Standardization** is the process of creating protocols for the production, sale, transport, or use of a product or service. Standardization occurs when relevant parties agree to follow these protocols together. It helps support expanded economic and financial activities across borders, such as trade and capital flows, which support higher economic growth and standards of living. Rules standardization can take many forms—from regulatory cooperation, to process standardization, to operational synchronization. Rules standardization may also be driven by non-state entities, such as industry groups or organizations. Exhibit 2 provides examples of standardization.

Exhibit 2: Types of Rules Standardization

	Regulatory Cooperation	Process Standardization	Operational Synchronization
Challenge	As financial cooperation expands, countries need a comprehensive standard for governance and risk management of the banking sector.	Financial transactions across borders faced higher costs and longer wait times, increasing the burden for cross-border activity.	Increasing international trade created supply chain bottlenecks as containers of different sizes and shapes were sent to ports worldwide.
Solution	Basel Committee on Banking Supervision (BCBS)	Society for Worldwide Interbank Financial Telecommunication (SWIFT)	Containerization
Process	The BCBS was established in 1974 by the G–10 banking authorities. Membership has since expanded to the G–20.	SWIFT was established in 1973 to provide a global financial infrastructure.	Standards set for containers of uniform size and shape using multimodal forms of transport (land, sea, air, rail) and port cranes.
Benefit	Allows for more effective supervision of the global banking sector and international capital flows.	Facilitates global payments in more than 200 countries and territories, servicing more than 11,000 institutions worldwide.	Dramatically reduces the time and cost of shipping goods.

Cultural Considerations and Soft Power

Finally, countries may have cultural reasons for cooperating with others. These could be historical in nature, such as long-standing political ties, immigration patterns, shared experiences, or cultural similarities. In other cases, countries may engage in **soft power**, a means of influencing another country's decisions without force or coercion. Soft power can be built over time through such actions as cultural programs, advertisement, travel grants, and university exchange. For example, the European Union (EU) Erasmus+ program provides funding for exchange programs in education and sport to drive social inclusion and participation between participants from different countries and also to promote such priority policies as the EU's green and digital transitions. In another example, countries like South Korea advertise visiting Seoul, the country's capital city, in subway systems globally. These advertisements use popular Korean-made products, musical acts, and actors to encourage interaction with Korean culture and business.

The Role of Institutions

An **institution** is an established organization or practice in a society or culture. An institution can be a formal structure, such as a university, organization, or process backed by law; or, it can be informal, such as customs or behavioral patterns important to a society. Institutions can, but need not be, formed by national governments. Examples of institutions include NGOs, charities, religious customs, family units, the media, political parties, and educational practice.

Generally, strong institutions contribute to more stable internal and external political forces. That consistency, in turn, gives a country more opportunity to develop cooperative relationships. Countries with strong institutions—including organizations and structures promoting government accountability, rule of law, and property rights—allow them to act with more authority and independence in the international space. Stronger institutions also make cooperative relationships more durable. By integrating a cooperative relationship in multiple layers of society, strong institutions can reduce the likelihood that a country defects from its cooperative roles.

viewed primarily in geospatial terms—the need for self-determination, survival as a nation state, the need for clear national borders, or expansion of the nation state. For others, national interest incorporates a wide array of interrelated factors, including the economic and social considerations discussed earlier. This broad approach can create conflicts among a country's many important needs, which complicates the assessment of geopolitical actors and their motivations.

We can think of a country's national interest as a hierarchy of factors, with those essential for survival at the top of the hierarchy and nice-but-not-essential elements lower in the hierarchy. Governments use the hierarchy of interests to guide their behavior. They will choose to cooperate where it benefits the nation-state, but when two needs result in conflicting cooperation tactics, those higher on the hierarchy are prioritized. For example, cooperation in the form of tariff harmonization may benefit the country on a stand-alone basis; however, if those countries are in a military conflict, then there is a higher cost to cooperation. In this case, if military determination is higher on the countries' hierarchies, then cooperation may not be in their national interest, despite the potential benefits.

Exhibit 3 shows how countries prioritize their hierarchy of interests. Every country has different resources, goals, and leadership and thus different priorities, as well. In the exhibit, Country A prioritizes access to food and water. In contrast, Country B, prioritizes independence from foreign influence. Additionally, these priorities may shift as political leadership turns over or as global events change. For investors, it is important to understand how these resources, goals, and leadership styles may interact or even conflict with one another over time. When countries' goals misalign or change, it may give rise to geopolitical risk.

Exhibit 3: Hierarchy of Interests

Power of the Decision Maker

Some elements on the hierarchy of national interests may appear clear-cut; securing access to food and water may take precedence over funding a cultural program, for example. However, as basic societal needs are met, the hierarchy of national interests can become more subjective. One government may treat the prioritization of some interests—such as military buildup or providing health care—very differently from its predecessor. How governments weigh those issues will determine the depth and nature of political cooperation.

The length of a country's political cycle has an important impact on priority designation. Many countries have political cycles of just a few years, which means that long-term risks like climate change or addressing income inequality can be difficult to prioritize against projects or goals that can be achieved in a short-term horizon. Intrinsic in this reality is that governmental decision makers, whether political parties or individuals, have their own set of influences and needs. Although we will not explore this idea in depth, it is important to acknowledge that, for the purpose of geopolitical risk analysis, decision makers' motivations can affect a country's cooperative and non-cooperative choices. This introduces a factor of psychology and non-predictability into choices along the hierarchy of a nation's needs that can shape geopolitical relationships.

EXAMPLE 3

Country's Political Cycle

1. True or false: The length of a country's political cycle does not affect its priority designation.

Explain your reasoning.

A. True
B. False

Hide Solution

Solution:

B is correct. The length of a country's political cycle has an important impact on priority designation as governments with shorter cycles have little incentive to focus on longer-term priorities, even if those priorities would be beneficial for society. Australia, for example, has shorter than average parliamentary terms, which could potentially affect governmental priorities.

Political Non-Cooperation

cooperate on standardized rules on an international scale. In some instances of extreme non-cooperation, however, countries' political self-determination is more important than the benefits of any cooperative actions. These extreme cases are rare, not least because the importance of cooperation for other state actors may result in attempts to coerce non-cooperative state actors into participation.

International Sanctions against Venezuela (2015–)

The United States has had concerns about Venezuelan narcotics trafficking since 2005 and Venezuela's lack of cooperation in combatting terrorism since 2006. With support from Congress and in response to increasing political repression in Venezuela, US President Obama levied additional sanctions for human rights abuses, corruption, and antidemocratic actions. The European Union urged Venezuelan officials to work toward political reconciliation but ultimately joined the United States in targeted sanctions to encourage a credible and meaningful process toward re-starting cooperation.

Throughout this time, sanctions have included targeted restrictions on Venezuelan officials, blocking financial transactions, and an embargo on the oil sector, which is highly important to the country's economy. Some politicians continue to support economic sanctions as a means to pressure the Venezuelan government to meet international standards on human rights and political cooperation. Others are concerned about the increasing humanitarian cost of those sanctions.

Venezuela's non-cooperative stance in the international arena has resulted in it being subject to substantial international sanctions. Imposing sanctions is in itself a non-cooperative approach by the United States and the European Union meant to influence the behavior of a country or its political leadership. Venezuela's non-cooperative stance indicates that its political self-determination is a priority above that of the humanitarian cost being inflicted on its citizens.

Political cooperation versus non-cooperation is only one lens through which geopolitical actors engage with the world, but it is an important one for understanding countries' priorities. Assessing a state actor's hierarchy of needs and how it may change may help us to understand its motivations and priorities. These factors affect not only countries' political and military actions but also their willingness to support economic and financial cooperation, which we will explore next.

Question Set

1. Which of these is likely lowest on a country's hierarchy of interests?

A. Tariff harmonization
B. Military determination
C. Cultural program development

Hide Solution

Solution:

C is correct. Cultural program development is likely lowest on a country's hierarchy of interests. Military determination (B) is often a primary source of national security and key to a country's national interest. Tariff harmonization (A) may improve economic activity and improve cooperation. Cultural programs are important and influential but likely lower priority compared with A and B.

2. Which of the following actions by a country is *most likely* a form of geopolitical cooperation?

A. Acting as a conduit for trade
B. Engaging in rules standardization
C. Opting to use soft power over military retaliation

Hide Solution

Solution:

B is correct. Political cooperation is associated with anything related to agreements of rules and standardization, with countries working together toward some shared goal. A cooperative country is one that engages and reciprocates in rules standardization. A is incorrect because acting as a conduit of trade, like Panama, involves non-cooperatively using a country's geographic location as a lever of power in broader international dynamics. C is incorrect because both soft power and military retaliation are examples of non-cooperative behavior, with the former being a less extreme means to influence another country's decisions without force or coercion.

3. Which of the following statements represents an aspect of geopolitical risk?

A. Modeling geopolitical risk is relatively easy to standardize.
B. An engaged country can be considered cooperative, even if it does not reciprocate.
C. The strength of a country's institutions is relevant to the durability of its cooperative relationships.

Hide Solution

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

C is correct. The strength of a country's institutions can make cooperative relationships more durable. A is incorrect because modeling geopolitical risk is not easily standardized. B is incorrect because a cooperative country is one that is both engaged and reciprocates.

Discuss Filter

Discussion

What do you want to discuss... (required)

SK

I'd like to point out, that many of the practice questions to this lesson are related to a lesson 04 "Assessing Geopolitical Actors and Risk" .

In this lesson there is no mention of autarky, hegemony, bilateralism or multilateralism.

Created 3 months ago by Stefan Kuruc

1 reply | Last Activity: 2 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.